Situation 1

Issue 1 – Association with client that fails.

RWS have suffered some difficulties following the ban of the E-Wheely on public roads, which has resulted in a decrease in profits of almost 50%. If these difficulties continue, the company may not be able to continue trading. This creates a reputational risk for the audit firm due to potential association with a client that fails.

Issue 2 – Payment of audit fee

RWS are experiencing cash flow difficulties and appear to be struggling to pay their creditors. This creates a financial risk to the audit firm, as there is an increased likelihood that the audit fee will not be paid.

Issue 3 – Contingent fee

The financial controller has offered to pay a higher audit fee if no misstatements are identified in the audit. This is an example of a contingent fee arrangement, which can never be accepted by the auditor due to the associated ethical risk.

Situation 2

Issue 1 – Personal relationship

Rory's wife is the CFO of Scottie. This creates an ethical risk of continuance, as the personal relationship may impair Rory's actual or appearance of objectivity and independence on the audit. If the audit firm continues with the audit of Scottie, another partner should replace Rory as audit partner on this engagement.

Issue 2 – Low fee

The audit fee for Scottie is 30% lower than average for clients of a similar size. This signifies that there may be a financial risk of loss due to a low audit fee that does not meet the costs of the audit. If the audit is not profitable for the audit firm, they should decide to not continue the audit.

Issue 3 – Lack of resources

All associates are fully resourced to other audits and are therefore not able to work on the audit of Scottie. This may impact the audit firm's ability to complete the audit, as they do not have appropriate staff available. If more senior staff were used on the audit instead, this would increase the cost of the audit and the likelihood that it would not be profitable.

Situation 3

Issue 1 – Unscrupulous client

Myla has received negative publicity due to concerns around their supply chain, including reports of the use of forced labour. There is a risk that the audit firm may be exposed to reputation damaged as a result of any involvement with Myla.

Issue 2 – Time to complete.

The FD expects the audit fieldwork to be completed within three weeks of acceptance of the engagement. As this is a new client which has not yet been accepted, no audit planning has taken place. It is very unlikely that M&N would be able to complete the audit in three weeks, as they may not have sufficient staff available, and it is too short a timeframe to gain an understanding of the business and complete all required audit testing.

Issue 3 – Client identification

One of the directors lives abroad, is not involved with the company on a day-to-day basis and has not responded to correspondence from the FD in six months. Under Money Laundering Regulations, the auditor must obtain evidence of the full name and address of all directors. If they are unable to obtain this information from the unresponsive director, the firm will be prevented from fulfilling its statutory responsibilities.

Situation 4

Issue 1 – Fees from non-audit services

Cars has recently listed on the LSE, and the audit firm has historically performed a number of non-audit services for Cars. As Cars has now listed, the audit firm must now ensure that the proportion of non-audit to audit fees does not exceed 70%. This creates a financial risk as the firm may have to forgo non-audit fees in order to continue with the audit engagement.

Issue 2 – Ability to complete.

As Cars is now a listed company, there are more stringent disclosure requirements which will need to be adhered to. The audit team may not have the skills, competence and time to complete the audit of a listed company in the same timeline and with a similar team as was used prior to listing.

Issue 3 – Financial interest

One of the audit seniors has bought shares in Cars. This creates an ethical risk as it is not permissible for an auditor to hold a direct financial interest in an audit

client under any circumstances. If the decision is made to continue with the audit, the audit senior should be removed from the audit team.

Situation 5

Issue 1 – Risks highlighted by previous auditor.

The previous auditor has noted they experienced difficulties obtaining relevant information from Venture. The auditor has a right of access to all relevant information; therefore, the audit firm may not wish to take on this client when there have been historical issues in this area.

Issue 2 – Integrity of management

The CFO has been quoted in the press blaming the outgoing auditor for not providing sufficient advice to Venture for certain business decisions. This indicates that there may be issues with the integrity of management as they are trying to redirect blame for internal failings. It also indicates that management may not understand the roles and responsibilities of the auditor.

Issue 3 – Legal claims

Venture may be bringing legal claims against the professionalism of the previous auditor. The relationship was evidently fractious between the two parties, and there may be a risk that Venture would raise similar claims against G&S which could result in reputational damage, as well as being financially costly.

Situation 6

Issue 1 – Ability to audit

Lucia has branches in Europe and Asia, and each branch has full ownership of all processes taking place in that country. This suggests that systems are not centralised, and so would add to the complexity of the audit. The audit firm may not have the resources, time or competence to undertake this audit, particularly as a wide range of countries are involved which may require knowledge of the local language and culture.

Issue 2 – Communicate with the previous auditor

Management have asked that the audit firm does not contact the previous auditor. Contacting the previous auditor is both an ethical requirement and a risk assessment procedure and is required under the ICAS Code of Ethics and the ISAs (UK). If management do not allow us to contact the previous auditor, the engagement should be declined.

Issue 3 – Basis of performance

Management appears to believe that audit is a free service. There therefore seems to be a gap in understanding between the potential audit firm and management about the terms of the engagement. If the engagement were to be accepted, the auditor should ensure that terms of the engagement are clarified and accepted by management in the form of an engagement letter signed by Lucia.